Global Workplace Flexibility, Remote Work & Paid Time Off (PTO) Policy Manual

Effective Date: January 1, 2026 • Owner: Global Workforce Relations & Mobility Compliance • Applicability: All Regular Full-Time and Part-Time Employees

Section 1. Purpose and Scope of Workplace Flexibility

This manual establishes the official rules governing hybrid work schedules, domestic remote work arrangements, temporary international remote work (working from abroad), annual Paid Time Off (PTO) accruals, vacation request workflows, sick leave, and statutory leaves of absence. All employees, people managers, and business unit leaders must adhere strictly to the procedures defined in this document to maintain tax compliance, data security, and operational continuity across all global business units.

Unless explicitly designated in Workday as a Field-Based or Fully Remote role, standard corporate employment follows a Hybrid Work Model. Under the Hybrid Work Model, employees are required to work on-site at their assigned primary campus location at least three days per week (typically Tuesday, Wednesday, and Thursday, or as coordinated by the first-line manager) and may work remotely from their verified domestic residence up to two days per week.

Section 2. Domestic Remote Work and Core Availability Rules

2.1 Standard Hybrid Schedule Expectations

Employees operating under a hybrid work arrangement must maintain an ergonomically safe, private workspace at their primary domestic residence. Remote workdays are not substitutes for dependent care or personal time off. During remote workdays, employees must remain reachable via corporate collaboration tools (Slack, Microsoft Teams, and corporate email) during core local business hours, defined as 09:30 to 16:00 in the time zone of their assigned primary office, unless an alternative flexible shift has been approved in writing by their first-line manager.

2.2 Domestic Relocation and Out-of-State Work

Employees may work temporarily from an alternative domestic location within their country of employment for up to 14 consecutive calendar days without formal HR reclassification, provided their first-line manager is notified via email prior to departure. Working from a different state, province, or municipal tax jurisdiction within the same country for more than 14 consecutive calendar days requires submitting a Domestic Tax Location Update ticket in the AskHR portal at least 10 business days in advance so Payroll can adjust state or regional tax withholdings.

Section 3. Working from Abroad (Temporary International Remote Work Policy)

> **Quick Summary — Working from Abroad (Up to 2 Weeks / 20 Business Days):** Yes, eligible employees may work temporarily from abroad for up to 20 business days (4 weeks) per calendar year, including a standard 2-week (10 business day) period. For a request of 2 weeks (10 business days) or less, you must obtain written approval from two parties: (1) your **First-Line Manager** and (2) the **Global Mobility & Tax Compliance Desk** via the International Remote Work Request Portal (`w3.ibm.internal/mobility-request`) at least **15 business days** before departure. Requests exceeding 10 business days (up to the 20-business-day annual cap) additionally require sign-off from your **Department Vice President** and **Cybersecurity Export Control (`export-control@ibm.internal`)**.

3.1 Eligibility and Annual Duration Limits for International Remote Work

To support employees who wish to combine international personal travel with temporary remote work or visit immediate family members residing outside their country of employment, the company permits Short-Term International Remote Work subject to strict legal, immigration, tax, and cybersecurity boundaries.

1. **Maximum Annual Allowance:** An eligible full-time employee who has completed at least six months of continuous service and holds a satisfactory performance standing may work from outside their country of employment for a cumulative maximum of **20 business days (four standard workweeks) per calendar year**.
2. **Maximum Single-Trip Duration:** No single international remote work period may exceed **15 consecutive business days (three workweeks)** without an executive exception from the Regional HR Director, as stays beyond 15 consecutive business days frequently trigger permanent establishment corporate tax liabilities in host countries.
3. **Legal Right to Work Requirement:** The employee must already possess the unrestricted legal right to work in the destination country (for example, through dual citizenship, permanent residency, or an eligible digital nomad entry status that permits remote work for a foreign employer). Employees are strictly prohibited from performing any work while entering a foreign country on a standard tourist visa where productive work is barred by local immigration law.

3.2 Who You Need to Ask: Approval Matrix for Working from Abroad

Employees must never travel with corporate hardware or access internal networks from outside their country of employment without completing the mandatory approval chain. The required approvers depend on the duration of the international remote work request:

- **Tier 1 — Short-Term International Work (1 to 10 Business Days / Up to 2 Weeks):** Step 1: Submit a request in the International Remote Work Portal (`w3.ibm.internal/mobility-request`) at least **15 business days** prior to your planned departure date.
  Step 2: Obtain electronic approval from your **First-Line Manager**, who confirms that your role responsibilities and time-zone overlap can be fulfilled remotely during the two-week window.
  Step 3: Obtain automated or specialist clearance from the **Global Mobility & Tax Compliance Desk (`global-mobility@ibm.internal`)**, which verifies your right-to-work documentation and confirms the destination country is not on the restricted country list.
- **Tier 2 — Extended Short-Term International Work (11 to 20 Business Days):** Requires all Tier 1 approvals plus explicit written sign-off from your **Second-Line Manager or Department Vice President** and a device encryption and data-access clearance from **Cybersecurity Export Control (`export-control@ibm.internal`)**. Tier 2 requests must be submitted at least **25 business days** before departure.

3.3 Restricted Destinations and Export Control Rules

Under no circumstances may an employee bring corporate laptops, mobile phones, or hardware security keys into, or attempt to authenticate to corporate networks from, countries subject to comprehensive trade embargoes or internal high-risk cybersecurity blocks (Restricted Category D countries). Furthermore, employees working on government-classified contracts, export-controlled cryptographic source code, or production customer database administration (unless routed through an approved jump host) are restricted from accessing production customer environments while abroad unless an explicit waiver is granted by the Chief Information Security Officer (CISO) office.

Section 4. Paid Time Off (PTO) Accrual Rates and Carryover Rules

Regular full-time employees accrue Paid Time Off (PTO) for vacation, personal rest, and leisure based on their cumulative years of recognized corporate service. Part-time employees accrue PTO on a pro-rated basis proportional to their scheduled weekly hours.

4.1 Annual PTO Entitlement by Tenure Band

- **Tenure Band A (0 to less than 5 Years of Service): 20 business days** (160 hours) of paid vacation per calendar year, accrued at a rate of 1.67 days per completed month of service.
- **Tenure Band B (5 to less than 10 Years of Service): 25 business days** (200 hours) of paid vacation per calendar year, accrued at a rate of 2.08 days per completed month of service.
- **Tenure Band C (10 or More Years of Service): 30 business days** (240 hours) of paid vacation per calendar year, accrued at a rate of 2.50 days per completed month of service.

4.2 PTO Request Lead Times and Approval Workflow

All vacation and PTO requests must be logged in the Workday Time Off module (`w3.ibm.internal/workday-pto`) prior to taking leave. To ensure adequate team coverage and sprint planning, employees must observe the following advance notice windows:

1. **Single-Day or Two-Day PTO Requests (1 to 2 business days):** Submit in Workday at least **48 hours (2 business days)** in advance. Requires approval from your First-Line Manager.
2. **Standard One- to Two-Week Vacation Requests (3 to 10 consecutive business days):** Submit in Workday at least **14 calendar days (2 weeks)** in advance. Requires approval from your First-Line Manager after confirming backup coverage with a peer on your squad.
3. **Extended Vacation Requests (11 to 15 consecutive business days):** Submit in Workday at least **30 calendar days** in advance. Requires approval from both your First-Line Manager and Second-Line Manager.
4. **Sabbatical or Continuous Leave Exceeding 15 Business Days:** Any continuous absence exceeding 15 business days (three workweeks) requires **60 calendar days** advance notice and formal approval from the Business Unit HR Partner (`hr-partner@ibm.internal`).

4.3 Year-End PTO Carryover and Payout Policies

Employees are strongly encouraged to utilize their full annual PTO entitlement within the calendar year in which it is accrued. At the conclusion of the calendar year on December 31, unused accrued PTO is subject to the following carryover rules:

- **Maximum Standard Carryover:** Employees may carry over a maximum of **5 unused PTO days (40 hours)** into the following calendar year, unless local statutory labor law mandates a higher carryover ceiling.
- **Carryover Expiration Deadline:** Any carried-over PTO days from the prior calendar year must be used on or before **March 31** of the new calendar year. Unused carryover days remaining after March 31 are forfeited automatically without cash payout, except where prohibited by local jurisdiction law.
- **Cash-Out Prohibition:** Accrued PTO cannot be converted into cash payments during active employment. Cash payout of accrued, unused PTO occurs solely upon voluntary resignation, retirement, or separation of employment, calculated at the employee's base daily salary rate.

Section 5. Sick Leave, Parental Leave, Bereavement, and Public Holidays

5.1 Paid Medical and Sick Leave

Full-time employees receive up to **12 paid sick days (96 hours)** per calendar year for personal illness, medical appointments, or caring for an immediate family member who is ill. Sick days do not reduce an employee's vacation PTO balance and do not carry over from year to year.

- **Notification Procedure:** If you are unable to work due to sudden illness, you must notify your First-Line Manager via Slack, phone, or email no later than **09:30 local time** on the first day of absence.
- **Medical Certification Threshold:** Absences due to illness lasting **3 or more consecutive business days** require a licensed physician's fitness-for-duty or medical absence note uploaded confidentially to the Health & Absence Portal (`w3.ibm.internal/medical-leave`) within 5 business days of the first day of absence.

5.2 Global Parental and Bonding Leave

Employees who welcome a newborn child, adopt a child, or accept a permanent foster care placement are eligible for paid Parental Bonding Leave provided they have completed at least 90 calendar days of continuous employment prior to the birth or placement date:

- **Birthing Parent Leave:** Eligible for **20 weeks (100 business days)** of leave at 100% of base pay (comprising 6 to 8 weeks of medical recovery leave plus 12 to 14 weeks of parental bonding leave).
- **Non-Birthing Parent, Adoptive Parent, or Foster Parent Leave:** Eligible for **16 weeks (80 business days)** of paid parental bonding leave at 100% of base pay.
- **Scheduling Flexibility:** Parental bonding leave may be taken continuously or split into up to three separate blocks of at least two weeks each within **12 months** of the child's birth or adoption placement date. Requests must be logged in the Leave Portal at least **30 calendar days** prior to the anticipated start date.

5.3 Bereavement and Compassionate Leave

In the event of the death of a family member, employees are granted paid bereavement leave that does not deduct from vacation PTO:

- **Immediate Family Member (Spouse, Domestic Partner, Child, Parent, Sibling, Step-Parent, or Step-Child):** Up to **10 paid business days**.
- **Extended Family Member (Grandparent, Grandchild, Parent-in-Law, Brother/Sister-in-Law, Aunt, or Uncle):** Up to **5 paid business days**.
- **International Funeral Travel Extension:** If the employee must travel internationally (more than 1,500 kilometers) to attend funeral or memorial services, the First-Line Manager may approve up to **2 additional paid travel days**.

5.4 Floating Cultural Holidays and Volunteering Days

In addition to observed national public holidays in the employee's country of employment, every regular employee receives **2 Paid Floating Cultural Holidays** per calendar year to observe religious, cultural, or personal days of significance, plus **2 Paid Community Volunteering Days (16 hours)** per calendar year to participate in approved STEM education, open-source mentorship, or charitable initiatives.